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China Equity Strategy | Asia Pacific

China/HK Flows and Positioning
Monthly Tracker – June 2026

Key Takeaways

- Foreign fund outflows accelerated sharply in June, marking the third-highest monthly outflow since 2025, with outflows from both passive and active funds.
- National Team selling remained elevated, while domestic liquidity stayed resilient with record-high margin balances and rising private fund AUM.
- Southbound inflows rebounded strongly, but foreign passive flows into A-shares reversed to outflows.

Foreign-domiciled long-only fund flows:

- Chinese equity flows from foreign-domiciled (US and EU) funds saw **outflows accelerate to US\$3.6bn in June, marking the third-largest monthly outflow since 2025**, only behind April 2025 (reciprocal tariffs) and March 2026 (US-Iran conflict). Passive funds reversed into net outflows of US\$1.3bn, while active fund outflows accelerated to US\$2.2bn ([Exhibit 2](#)).
- On a cumulative basis, foreign fund inflows dropped to **US\$6.9bn in 1H26**, representing 50% of the full-year 2025 inflow total ([Exhibit 4](#), [Exhibit 5](#)).
- Based on the latest available data (with most funds having disclosed position data up to May-26), **Global EM funds'** China UW remained stable at 1.4ppt. However, **EM funds and AxJ funds** narrowed their underweight positions, with EM funds now at 5.2ppt UW and AxJ funds at 0.9ppt UW ([Exhibit 1](#)).
- More details: [Fund Flows in China/HK Equities](#).

A-share market liquidity:

- National Team outflows**, proxied by CSI 300 ETF flows, accelerated to an estimated US\$23bn in June from US\$21bn in May; less support amid the strong rally in AI and technology stocks ([Exhibit 7](#)).
- Domestic liquidity remained supportive**, with private fund AUM continuing to grow and margin financing balances hitting a record high, despite moderation in retail trading activity. ([Exhibit 12](#), [Exhibit 13](#)).
- More details: [A-share Liquidity Track](#).

Southbound/Northbound flow:

- Southbound flows** re-accelerated to US\$3.5bn in June (vs. US\$0.4bn outflow in May). On a cumulative basis, 1H26 southbound inflows were US\$36bn, representing 21% of the 2025 full-year inflows ([Exhibit 3](#)).
- Foreign passive fund flows into CSI 300 (a proxy for northbound flow)** reversed to outflows in June after two months of inflows ([Exhibit 19](#)).

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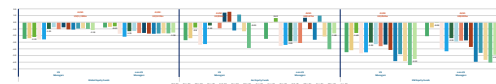
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Exhibit 1 : Active weights of China/HK equities by regional fund category and manager domicile



Source: FactSet, MorningStar, EPFR, Morgan Stanley Research. Note: Data refreshed as of June 30, 2026, most funds have disclosed position data up to May 31. Fund universe of each category is formed by the largest 30 active mutual funds under MorningStar regional category. Funds under "non-US Managers" are mostly domiciled in Europe. We exclude ESG funds, income funds, and systematic funds. All the covered funds are benchmarking to either MSCI or FTSE standard regional indices of All Country World, Asia ex Japan, or Emerging Markets.

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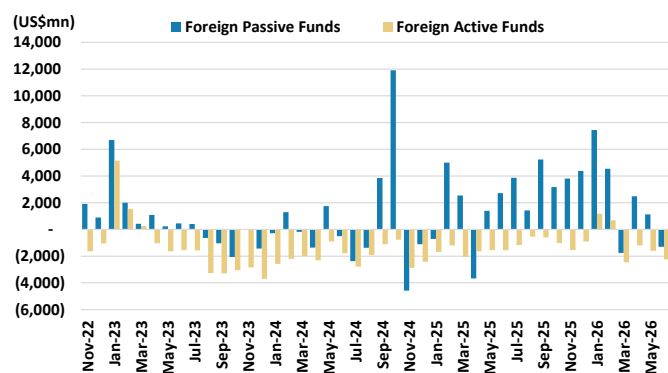
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Fund Flows in China/HK Equities

For foreign-domiciled mutual funds

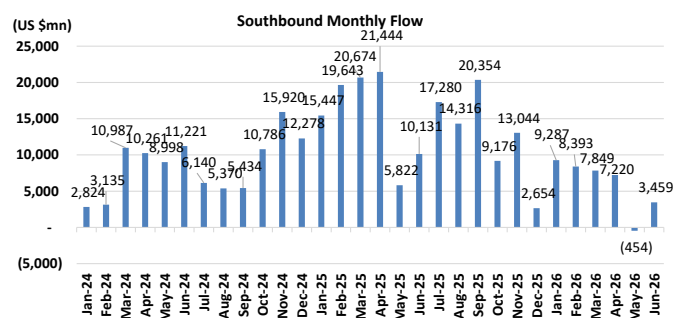
- **By sector:** Active fund managers added the most active weights in Semiconductors, Tech Hardware and Media & Entertainment vs. last month, while they trimmed most in Consumer Discretionary Distribution & Retail, Insurance and Food Beverage & Tobacco ([Exhibit 22](#)).
- **By company:** Tencent, Advanced Micro-Fabrication Equipment, and Wuxi App Tech were most added, while BABA, Ping An Insurance and Lenovo were most trimmed vs. last month ([Exhibit 19](#)).
- Also read: [Fund Positions Changes vs. Last Month – Top 50 Mutual Fund Holdings](#), [Funds Positions Changes vs. Last Month – By GICS Industry Group](#)

Exhibit 2: Monthly fund flows in China/HK equities by foreign passive and active funds



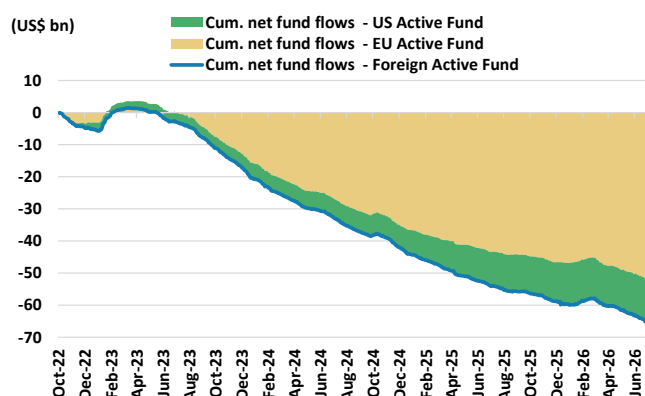
Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

Exhibit 3: Southbound monthly net fund flows



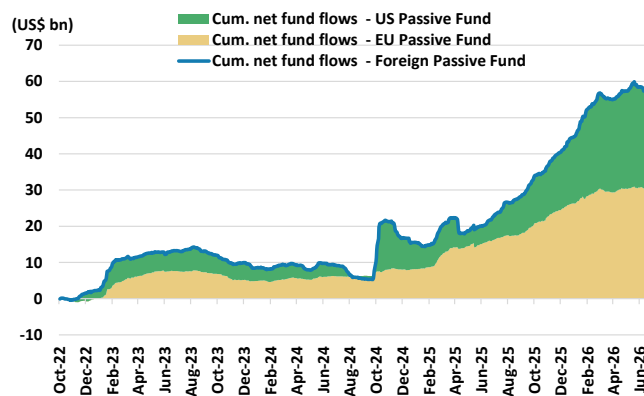
Source: CEIC, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

Exhibit 4: Cumulative fund flows in China/HK equities by both US- and EU-domiciled active funds



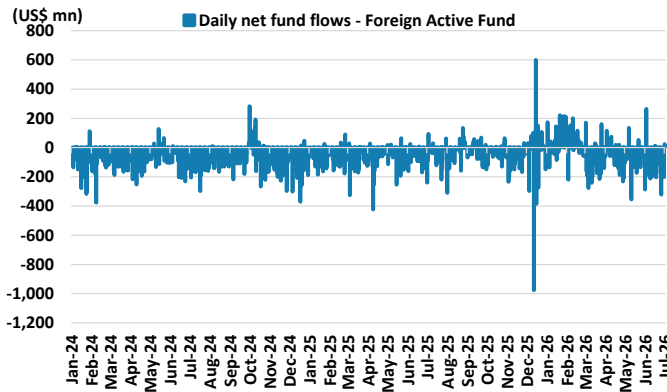
Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

Exhibit 5: Cumulative fund flows in China/HK equities by both US- and EU-domiciled passive funds



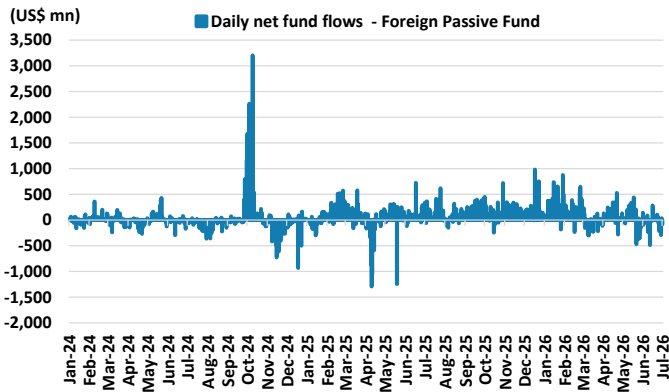
Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

Exhibit 6: Daily net fund flows in China/HK equities by both US- and EU-domiciled active funds



Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

Exhibit 7 Daily net fund flows in China/HK equities by both US- and EU-domiciled passive funds



Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

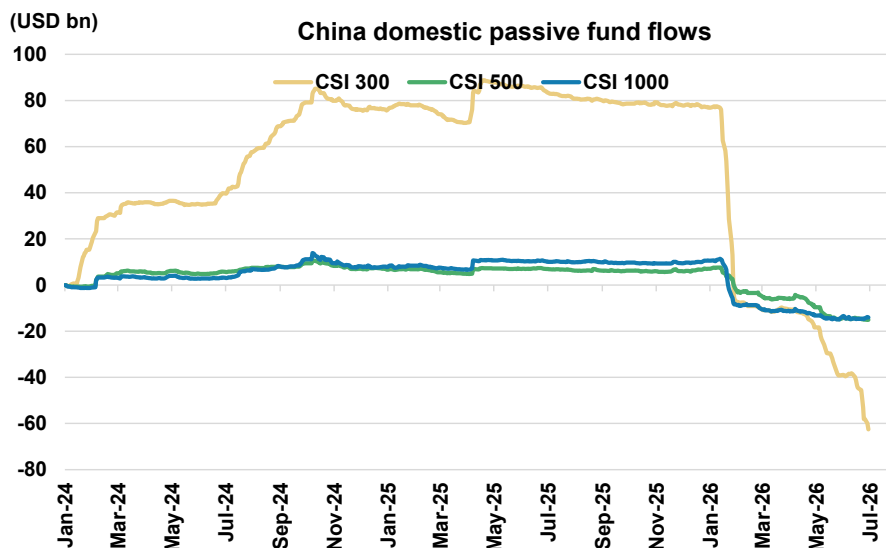
A-share Liquidity Track

- **National Team ETF selling accelerated in June**, led by CSI 300 ETF outflows of US\$23bn, while CSI 500 and CSI 1000 flows were broadly stable. ([Exhibit 7](#)).
- **Retail participation softened at the margin in June**: New account openings rose slightly and margin financing balances reached another record high at Rmb3.0tn, but daily small-order net inflows moderated to Rmb25bn (vs. Rmb33bn in May), pointing to more mixed retail activity ([Exhibit 11](#), [Exhibit 12](#)).
- **Domestic liquidity remained supportive**: Private fund AUM continued to expand, up 42% from mid-2025 levels ([Exhibit 13](#)), while active mutual funds (hybrid funds) extended their steady AUM growth. ETF AUM saw a modest decline, likely reflecting continued National Team redemptions ([Exhibit 14](#)).
- **Foreign passive flows into A-shares turned negative in June**: Passive funds tracking the CSI 300 reversed to net outflows after two consecutive months of inflows in April and May. ([Exhibit 19](#)).

National Team ETF selling accelerated in June, led by CSI 300 ETFs; CSI 500 and CSI 1000 flows remained broadly stable.

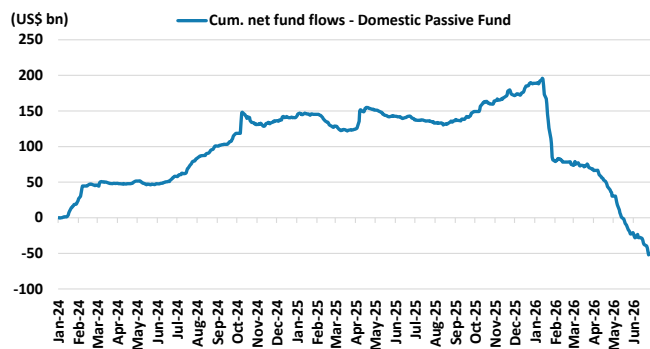
We use CSI 300 passive ETF flows as a proxy for the National Team's cumulative buying and selling activity. **CSI 300 ETF outflows further accelerated to US\$23bn in June** (vs. US\$21bn in May), while CSI 500 and CSI 1000 flows were broadly flat.

Exhibit 7: China domestic broad-market index ETF flow – ETF selling continued in June



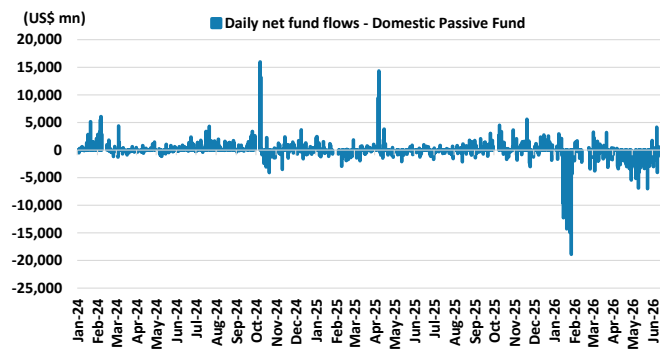
Source: EPFR, Morgan Stanley Research. Data as of Jun 30, 2026.

Exhibit 8: Cumulative fund flows in China/HK equities from Chinese domestic domiciled passive funds



Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

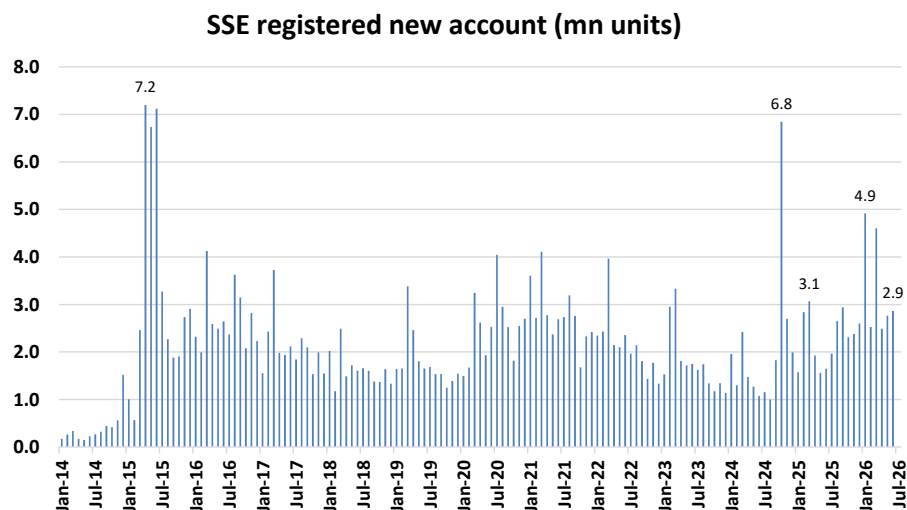
Exhibit 9: Daily fund flows in China/HK equities from Chinese domestic domiciled passive funds



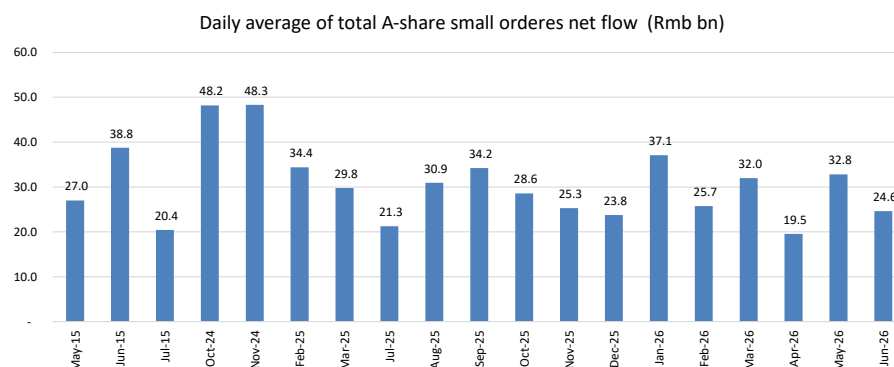
Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

Retail participation was more mixed in June, with account openings and margin financing balances continuing to rise, while small-order inflows softened.

- **New SSE account opening** rose slightly to 2.9mn in June from 2.8mn in May.
- **The daily average net inflow of A-share small orders** (under Rmb40,000, a proxy for retail participation) declined to Rmb25bn in June from Rmb33bn in May, suggesting softer retail trading activity.
- **A-share total margin financing balance** (a proxy for leveraged retail participation) rose 4% m-m to a record high of Rmb3.0tn.

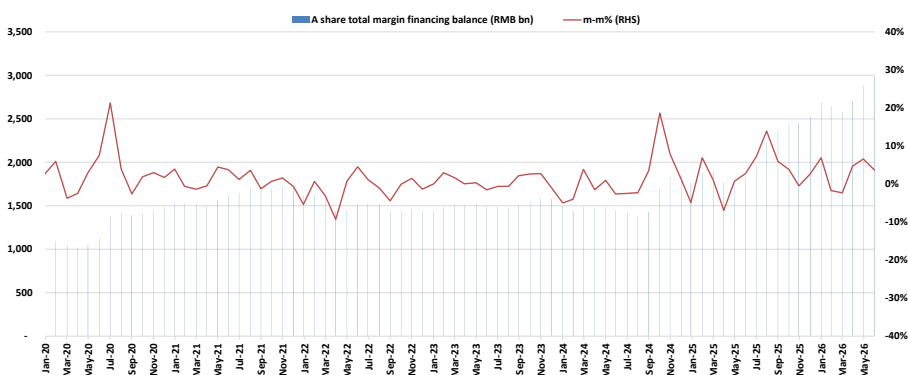
Exhibit 10: SSE registered new accounts – Slight pick-up in June

Source: CEIC, Morgan Stanley Research. Data as of Jun 2026.

Exhibit 11: Daily average of A-share small orders net inflow – Inflows dropped significantly in June

Note: Small order refers to these below Rmb40,000.

Source: Wind, Morgan Stanley Research. Data as of Jun, 2026.

Exhibit 12: A-share total margin financing balance and m-m % – Another historical high in June with 4% m-m increase

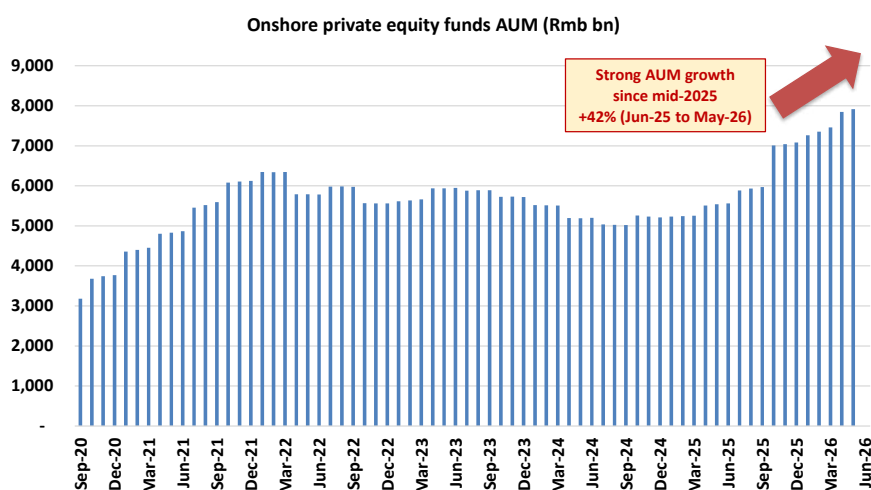
Source: CEIC, Morgan Stanley Research. Data as of Jun 2026.

Domestic liquidity remained supportive, with private funds and active

mutual funds continuing to see AUM growth.

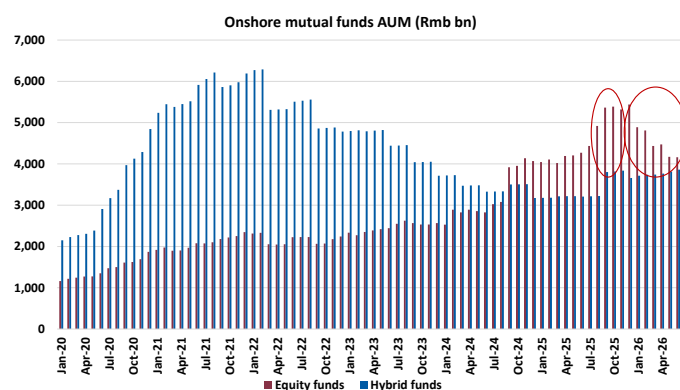
- **Private fund AUM recorded a slight increase of Rmb69bn in May** (vs. Rmb386bn in April). Since mid-2025, total private fund AUM has risen by 42%, highlighting a sustained recovery in domestic risk appetite ([Exhibit 13](#)).
- **Mutual active fund continued steady AUM increase:** Onshore equity funds (mostly ETFs) saw a slight AUM decline of Rmb12bn in June, while onshore hybrid funds (mostly active funds) recorded a steady AUM increase of Rmb45bn ([Exhibit 14](#)).

Exhibit 13: Onshore private equity funds AUM – Strong AUM increase indicates active HNWI participation in equity market



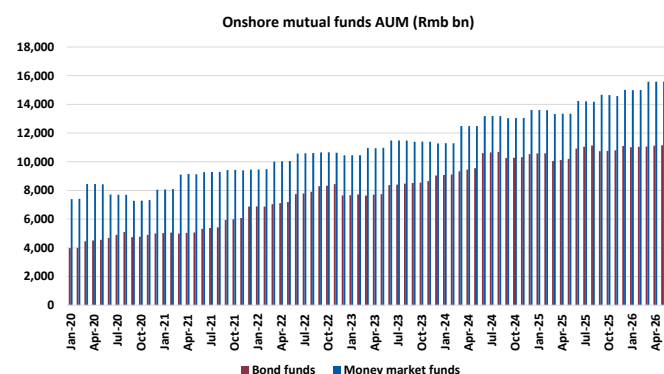
Source: Wind, Morgan Stanley Research. Data as of May 2026.

Exhibit 14: Onshore mutual funds AUM (equity and hybrid funds)

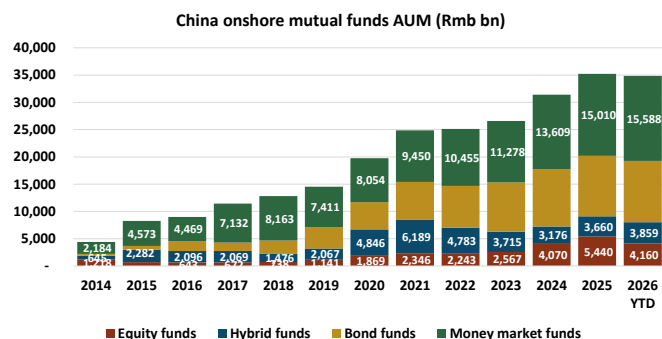


Source: Wind, Morgan Stanley Research. Data as of Jun 2026.

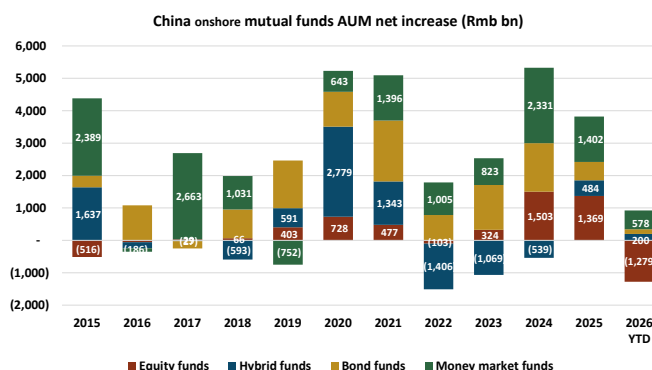
Exhibit 15: Onshore mutual funds AUM (bond and money market funds)



Source: Wind, Morgan Stanley Research. Data as of Jun 2026.

Exhibit 16: China onshore mutual funds AUM, 2014-YTD2026

Source: Wind, Morgan Stanley Research. Data as of Jun 2026.

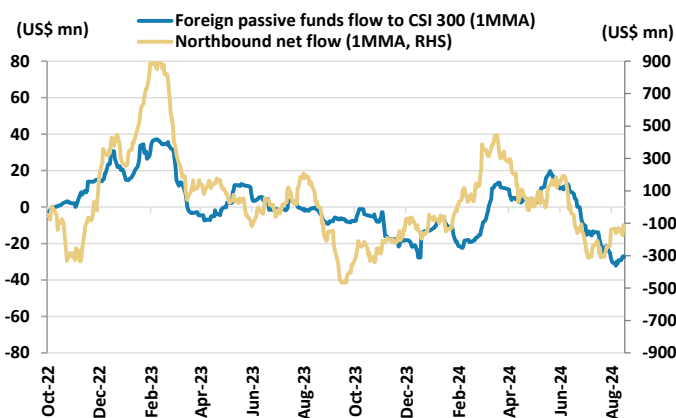
Exhibit 17: China onshore mutual funds AUM net increase, 2014-YTD2026

Source: Wind, Morgan Stanley Research. Data as of Jun 2026.

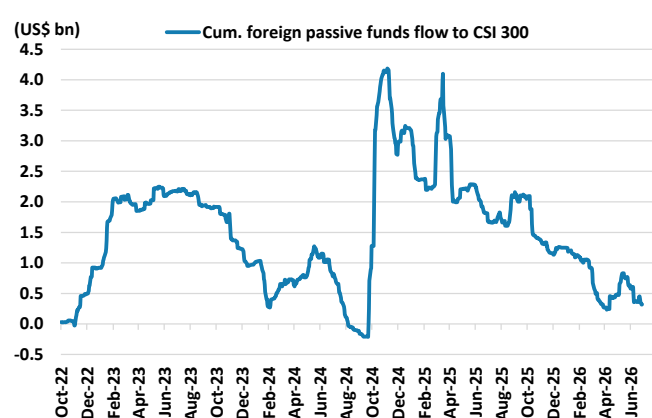
Northbound proxy: Foreign passive into A-shares reversed to outflows in June

The northbound net flow daily data disclosure was terminated as of August 19, 2024. As an alternative, we look at foreign passive funds flow to CSI 300 as it shows a good correlation with northbound net flow historically.

Foreign passive funds tracking CSI 300 reversed to outflows in June, after two months of inflows in April and May.

Exhibit 18: Proxy of northbound net flow – foreign-domiciled passive funds flow to CSI 300

Source: EPFR, Morgan Stanley Research. Note: Data as of August 16, 2024.

Exhibit 19: Cumulative fund flows in CSI 300 by foreign-domiciled passive funds

Source: EPFR, Morgan Stanley Research. Note: Data as of Jun 30, 2026.

Fund Positions Changes vs. Last Month – Top 50 Mutual Fund Holdings

Exhibit 20: Top 50 China/HK holdings among long-only EM and China active managers vs. last month

Ticker	Company Name	GICS Industry Group	International & US Funds				International Funds - UCITS			US Funds		
			Portfolio Composite Weights	MSCI China Index Weights	Active Weights	Active Wgt. Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Wgt. Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Wgt. Changes vs. last month
700-HK	Tencent Holdings	Media & Entertainment	14.3%	13.4%	0.9%	-1.7%	11.5%	1.9%	1.5%	17.5%	4.1%	1.7%
9988-HK	Alibaba Group Holding	Consumer Discretionary Distribution & Retail	7.6%	10.2%	-2.6%	-1.4%	6.7%	3.4%	-1.3%	8.5%	1.6%	-1.5%
300750-CN	Contemporary Amperex Technology	Capital Goods	5.0%	1.3%	3.7%	-0.1%	4.8%	3.5%	-0.1%	5.2%	3.9%	0.0%
939-HK	China Construction Bank	Banks	3.1%	4.1%	-1.0%	-0.2%	2.4%	1.6%	0.0%	3.9%	0.2%	-0.5%
2318-HK	Ping An Insurance Group	Insurance	2.8%	2.2%	0.7%	-0.5%	3.0%	0.9%	-0.4%	2.6%	0.5%	-0.7%
1299-HK	AIA Group	Insurance	2.6%	0.0%	2.6%	-0.3%	2.2%	2.2%	-0.3%	3.1%	1.1%	-0.2%
9999-HK	NetEase	Media & Entertainment	2.3%	1.7%	0.6%	0.1%	2.6%	0.9%	0.1%	2.0%	0.3%	0.1%
688008-CN	Montage Technology	Semiconductors & Semiconductor Equipment	2.0%	0.1%	1.9%	-0.3%	2.0%	1.9%	0.3%	1.9%	1.8%	0.3%
3968-HK	China Merchants Bank	Banks	1.7%	1.2%	0.5%	0.0%	2.1%	0.9%	0.0%	1.2%	0.1%	0.0%
2899-HK	Zijin Mining Group	Materials	1.7%	1.2%	0.5%	0.0%	1.3%	0.1%	0.0%	2.2%	1.0%	-0.1%
688012-CN	Advanced Micro-Fabrication Equipment	Semiconductors & Semiconductor Equipment	1.5%	0.1%	1.4%	0.9%	1.5%	1.4%	0.9%	1.5%	1.4%	0.9%
2359-HK	WuXi AppTec	Pharmaceuticals Biotechnology & Life Sciences	1.4%	0.3%	1.1%	-0.4%	0.8%	0.5%	0.3%	2.0%	1.7%	-0.5%
000333-CN	Midea Group	Consumer Durables & Apparel	1.3%	0.3%	1.0%	-0.1%	1.3%	1.0%	0.0%	1.3%	1.0%	-0.1%
1211-HK	BYD	Automobiles & Components	1.3%	1.8%	-0.6%	0.0%	0.6%	1.2%	0.2%	2.0%	0.1%	-0.1%
HTHT-US	H World Group	Consumer Services	1.1%	0.3%	0.8%	0.0%	1.0%	0.6%	0.0%	1.3%	1.0%	0.0%
PDD-US	PDD Holdings	Consumer Discretionary Distribution & Retail	1.1%	2.3%	-1.2%	0.0%	1.3%	1.0%	0.0%	0.9%	1.4%	-0.1%
300308-CN	Zhongji Innolight	Technology Hardware & Equipment	1.1%	0.4%	0.7%	0.1%	1.3%	0.8%	0.1%	0.9%	0.4%	0.0%
002371-CN	NAURA Technology Group	Semiconductors & Semiconductor Equipment	1.1%	0.2%	0.9%	0.3%	1.2%	1.0%	0.5%	0.9%	0.8%	0.1%
600519-CN	Kweichow Moutai	Food Beverage & Tobacco	1.0%	0.6%	0.5%	-0.1%	1.2%	0.6%	-0.1%	0.9%	0.3%	-0.2%
300124-CN	Shenzhen Inovance Technology	Capital Goods	1.0%	0.0%	1.0%	-0.1%	0.7%	0.7%	-0.1%	1.3%	1.3%	-0.1%
002028-CN	Sieyuan Electric	Capital Goods	1.0%	0.0%	1.0%	-0.1%	0.9%	0.9%	-0.1%	1.2%	1.2%	-0.2%
2628-HK	China Life Insurance	Insurance	0.9%	1.1%	-0.2%	0.0%	0.4%	0.7%	0.0%	1.4%	0.3%	0.1%
2328-HK	PICC Property & Casualty	Insurance	0.8%	0.5%	0.3%	0.1%	0.6%	0.1%	0.0%	1.1%	0.6%	0.2%
2338-HK	Weichai Power	Capital Goods	0.7%	0.5%	0.3%	-0.1%	0.6%	0.2%	-0.1%	0.9%	0.4%	-0.2%
992-HK	Lenovo Group	Technology Hardware & Equipment	0.7%	0.9%	-0.2%	-0.5%	0.4%	0.6%	-0.5%	1.1%	0.2%	-0.6%
1398-HK	Industrial and Commercial Bank of China	Banks	0.7%	2.3%	-1.5%	0.0%	1.0%	1.3%	0.0%	0.5%	1.8%	0.0%
600660-CN	Fuyao Glass Industry Grp	Automobiles & Components	0.7%	0.2%	0.5%	0.1%	0.8%	0.6%	0.0%	0.6%	0.4%	0.2%
9888-HK	Baidu	Media & Entertainment	0.7%	1.4%	-0.7%	-0.2%	0.8%	0.6%	-0.1%	0.6%	0.8%	-0.4%
669-HK	Techtronic Industries	Capital Goods	0.7%	0.0%	0.7%	0.1%	0.6%	0.6%	0.0%	0.8%	0.8%	0.2%
388-HK	Hong Kong Exchanges & Clearing	Financial Services	0.6%	0.0%	0.6%	0.0%	0.7%	0.7%	0.0%	0.6%	0.6%	0.0%
600031-CN	Sany Heavy Industry	Capital Goods	0.6%	0.1%	0.6%	0.0%	0.5%	0.4%	0.0%	0.8%	0.7%	0.1%
9961-HK	Trip.com Group	Consumer Services	0.6%	1.1%	-0.5%	0.0%	0.8%	0.3%	-0.1%	0.4%	0.7%	0.1%
857-HK	PetroChina	Energy	0.6%	1.2%	-0.6%	0.0%	0.5%	0.7%	-0.1%	0.7%	0.5%	0.0%
3690-HK	Meituan	Consumer Services	0.6%	1.8%	-1.2%	0.2%	0.6%	1.2%	0.2%	0.5%	1.3%	0.2%
6160-HK	BeOne Medicines	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.7%	-0.2%	0.1%	0.5%	0.3%	0.1%	0.7%	0.1%	0.0%
2020-HK	ANTA Sports Products	Consumer Durables & Apparel	0.6%	0.5%	0.1%	0.0%	0.7%	0.2%	0.0%	0.4%	0.1%	0.1%
YMM-US	Full Truck Alln	Transportation	0.6%	0.0%	0.6%	-0.1%	0.6%	0.6%	-0.1%	0.5%	0.5%	0.0%
3692-HK	Hansoh Pharmaceutical Group	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.2%	0.3%	0.0%	0.3%	0.0%	0.0%	0.9%	0.6%	0.0%
600276-CN	Jiangsu Hengrui Pharmaceuticals	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.1%	0.4%	0.1%	0.7%	0.6%	0.1%	0.4%	0.2%	0.1%
1109-HK	China Resources Land	Real Estate Management & Development	0.5%	0.6%	0.0%	-0.1%	0.6%	0.1%	-0.1%	0.4%	0.1%	-0.1%
002463-CN	Wus Printed Circuit	Technology Hardware & Equipment	0.5%	0.1%	0.4%	0.1%	0.7%	0.6%	0.1%	0.3%	0.3%	0.0%
600690-CN	Haier Smart Home	Consumer Durables & Apparel	0.5%	0.3%	0.2%	0.0%	0.5%	0.2%	0.0%	0.6%	0.3%	0.0%
600176-CN	Cn Jushi	Materials	0.5%	0.1%	0.4%	0.2%	0.5%	0.5%	0.2%	0.4%	0.4%	0.1%
9618-HK	JD.com	Consumer Discretionary Distribution & Retail	0.5%	1.3%	-0.8%	0.1%	0.4%	0.9%	0.1%	0.6%	0.7%	0.1%
688019-CN	Anji Microelectronics	Semiconductors & Semiconductor Equipment	0.5%	0.0%	0.4%	0.2%	0.6%	0.6%	0.2%	0.3%	0.3%	0.1%
BZ-US	Kanzhun	Commercial & Professional Services	0.4%	0.2%	0.3%	0.0%	0.5%	0.3%	0.0%	0.4%	0.2%	0.0%
300274-CN	Sungrow Power Supply	Capital Goods	0.4%	0.1%	0.3%	0.0%	0.7%	0.6%	0.0%	0.1%	0.1%	-0.1%
1810-HK	Xiaomi	Technology Hardware & Equipment	0.4%	2.4%	-2.0%	-0.2%	0.5%	1.9%	-0.2%	0.3%	2.1%	-0.2%
291-HK	China Resources Beer (Holdings)	Food Beverage & Tobacco	0.4%	0.2%	0.2%	0.0%	0.2%	0.0%	0.0%	0.5%	0.3%	0.0%
601600-CN	Aluminum Corp of China	Materials	0.4%	0.3%	0.1%	0.0%	0.1%	0.2%	0.0%	0.7%	0.4%	0.0%

Source: MorningStar, FactSet, Morgan Stanley Research. Note: Data as of Jun 30, 2026, most funds have disclosed position data up to May 31. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - [Methodology of Our Fund Analysis](#). For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures.

Fund Positions QTD Changes – Top 50 Mutual Fund Holdings

Exhibit 21: Top 50 China/HK holdings among long-only EM and China active managers vs. last quarter

Ticker	Company Name	GICS Industry Group	International & US Funds				International Funds - UCITS			US Funds		
			Portfolio Composite Weights	MSCI China Index Weights	Active Weights	Active Wgt. Changes QTD	Portfolio Composite Weights	Active Weights	Active Wgt. Changes QTD	Portfolio Composite Weights	Active Weights	Active Wgt. Changes QTD
700-HK	Tencent Holdings	Media & Entertainment	14.3%	13.4%	0.9%	1.6%	11.5%	-1.9%	1.8%	17.5%	-4.1%	1.4%
9988-HK	Alibaba Group Holding	Consumer Discretionary Distribution & Retail	7.6%	10.2%	-2.6%	-2.0%	6.7%	-3.4%	-1.9%	8.5%	-1.6%	-2.1%
300750-CN	Contemporary Amperex Technology	Capital Goods	5.0%	1.3%	3.7%	0.1%	4.8%	3.5%	-0.1%	5.2%	3.9%	0.4%
939-HK	China Construction Bank	Banks	3.1%	4.1%	-1.0%	-0.3%	2.4%	-1.6%	-0.1%	3.9%	-0.2%	-0.5%
2318-HK	Ping An Insurance Group	Insurance	2.8%	2.2%	0.7%	-0.5%	3.0%	0.9%	-0.4%	2.6%	0.5%	-0.7%
1299-HK	AIA Group	Insurance	2.6%	0.0%	2.6%	-0.2%	2.2%	2.2%	-0.2%	3.1%	3.1%	-0.2%
9999-HK	NetEase	Media & Entertainment	2.3%	1.7%	0.6%	0.4%	2.6%	0.9%	0.3%	2.0%	0.3%	0.4%
688008-CN	Montage Technology	Semiconductors & Semiconductor Equipment	2.0%	0.1%	1.9%	1.0%	2.0%	1.9%	1.1%	1.9%	1.8%	0.5%
3968-HK	China Merchants Bank	Banks	1.7%	1.2%	0.5%	0.0%	2.1%	0.9%	-0.1%	1.2%	0.1%	0.0%
2899-HK	Zijin Mining Group	Materials	1.7%	1.2%	0.5%	-0.1%	1.3%	0.1%	-0.1%	2.2%	1.0%	-0.1%
688012-CN	Advanced Micro-Fabrication Equipment	Semiconductors & Semiconductor Equipment	1.5%	0.1%	1.4%	0.8%	1.5%	1.4%	0.8%	1.5%	1.4%	0.8%
2359-HK	WuXi AppTec	Pharmaceuticals Biotechnology & Life Sciences	1.4%	0.3%	1.1%	0.3%	0.8%	0.5%	0.2%	2.0%	1.7%	0.4%
000333-CN	Midea Group	Consumer Durables & Apparel	1.3%	0.3%	1.0%	-0.1%	1.3%	1.0%	0.0%	1.3%	1.0%	-0.1%
1211-HK	BYD	Automobiles & Components	1.3%	1.8%	-0.6%	0.2%	0.6%	-1.2%	0.3%	2.0%	0.1%	0.1%
HTHT-US	H World Group	Consumer Services	1.1%	0.3%	0.8%	-0.2%	1.0%	0.6%	0.0%	1.3%	1.0%	-0.3%
PDD-US	PDD Holdings	Consumer Discretionary Distribution & Retail	1.1%	2.3%	-1.2%	-0.1%	1.3%	-1.0%	0.0%	0.9%	-1.4%	-0.1%
300308-CN	Zhongji Innolight	Technology Hardware & Equipment	1.1%	0.4%	0.7%	0.3%	1.3%	0.8%	0.5%	0.9%	0.4%	0.2%
002371-CN	NAURA Technology Group	Semiconductors & Semiconductor Equipment	1.1%	0.2%	0.9%	0.4%	1.2%	1.0%	0.6%	0.9%	0.8%	0.2%
600519-CN	Kweichow Moutai	Food Beverage & Tobacco	1.0%	0.6%	0.5%	-0.1%	1.2%	0.6%	-0.1%	0.9%	0.3%	-0.2%
300124-CN	Shenzhen Inovance Technology	Capital Goods	1.0%	0.0%	1.0%	0.1%	0.7%	0.7%	0.1%	1.3%	1.3%	0.2%
002028-CN	Sieyuan Electric	Capital Goods	1.0%	0.0%	1.0%	-0.1%	0.9%	0.9%	0.0%	1.2%	1.2%	-0.2%
2628-HK	China Life Insurance	Insurance	0.9%	1.1%	-0.2%	0.0%	0.4%	-0.7%	-0.1%	1.4%	0.3%	0.1%
2328-HK	PICC Property & Casualty	Insurance	0.8%	0.5%	0.3%	0.1%	0.6%	0.1%	0.1%	1.1%	0.6%	0.2%
2338-HK	Weichai Power	Capital Goods	0.7%	0.5%	0.3%	-0.1%	0.6%	0.2%	-0.1%	0.9%	0.4%	-0.2%
992-HK	Lenovo Group	Technology Hardware & Equipment	0.7%	0.9%	-0.2%	-0.3%	0.4%	-0.6%	-0.4%	1.1%	0.2%	-0.2%
1398-HK	Industrial and Commercial Bank of China	Banks	0.7%	2.3%	-1.5%	0.0%	1.0%	-1.3%	-0.1%	0.5%	-1.8%	0.1%
600660-CN	Fuyao Glass Industry Grp	Automobiles & Components	0.7%	0.2%	0.5%	0.0%	0.8%	0.6%	-0.1%	0.6%	0.4%	0.1%
9888-HK	Baidu	Media & Entertainment	0.7%	1.4%	-0.7%	-0.3%	0.8%	-0.6%	-0.1%	0.6%	0.8%	-0.4%
669-HK	Techtronic Industries	Capital Goods	0.7%	0.0%	0.7%	0.1%	0.6%	0.6%	0.0%	0.8%	0.8%	0.2%
388-HK	Hong Kong Exchanges & Clearing	Financial Services	0.6%	0.0%	0.6%	0.0%	0.7%	0.7%	0.0%	0.6%	0.6%	0.0%
600031-CN	Sany Heavy Industry	Capital Goods	0.6%	0.1%	0.6%	0.0%	0.5%	0.4%	0.0%	0.8%	0.7%	0.0%
9961-HK	Trip.com Group	Consumer Services	0.6%	1.1%	-0.5%	-0.1%	0.8%	-0.3%	-0.2%	0.4%	-0.7%	0.0%
857-HK	PetroChina	Energy	0.6%	1.2%	-0.6%	-0.1%	0.5%	-0.7%	-0.2%	0.7%	-0.5%	0.1%
3690-HK	Meituan	Consumer Services	0.6%	1.8%	-1.2%	-0.1%	0.6%	-1.2%	0.1%	0.5%	-1.3%	-0.3%
6160-HK	BeOne Medicines	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.7%	-0.2%	0.1%	0.5%	-0.3%	0.1%	0.7%	-0.1%	0.2%
2020-HK	ANTA Sports Products	Consumer Durables & Apparel	0.6%	0.5%	0.1%	0.0%	0.7%	0.2%	0.0%	0.4%	-0.1%	0.1%
YMM-US	Full Truck Allin	Transportation	0.6%	0.0%	0.6%	-0.1%	0.6%	0.6%	0.0%	0.5%	0.5%	-0.1%
3692-HK	Hansoh Pharmaceutical Group	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.2%	0.3%	-0.1%	0.3%	0.0%	-0.1%	0.9%	0.6%	-0.2%
600276-CN	Jiangsu Hengrui Pharmaceuticals	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.1%	0.4%	0.1%	0.7%	0.6%	0.1%	0.4%	0.2%	0.1%
1109-HK	China Resources Land	Real Estate Management & Development	0.5%	0.6%	0.0%	-0.1%	0.6%	0.1%	0.0%	0.4%	-0.1%	-0.1%
002463-CN	Wus Printed Circuit	Technology Hardware & Equipment	0.5%	0.1%	0.4%	0.2%	0.7%	0.6%	0.2%	0.3%	0.3%	0.1%
600690-CN	Haier Smart Home	Consumer Durables & Apparel	0.5%	0.3%	0.2%	0.0%	0.5%	0.2%	0.0%	0.6%	0.3%	0.0%
600176-CN	Cn Jushi	Materials	0.5%	0.1%	0.4%	0.2%	0.5%	0.5%	0.2%	0.4%	0.4%	0.2%
9618-HK	JD.com	Consumer Discretionary Distribution & Retail	0.5%	1.3%	-0.8%	0.1%	0.4%	-0.9%	0.1%	0.6%	-0.7%	0.1%
688019-CN	Anji Microelectronics	Semiconductors & Semiconductor Equipment	0.5%	0.0%	0.4%	0.2%	0.6%	0.6%	0.2%	0.3%	0.3%	0.1%
BZ-US	Kanzhun	Commercial & Professional Services	0.4%	0.2%	0.3%	0.0%	0.5%	0.3%	0.0%	0.4%	0.2%	0.0%
300274-CN	Sungrow Power Supply	Capital Goods	0.4%	0.1%	0.3%	0.1%	0.7%	0.6%	0.2%	0.1%	-0.1%	-0.1%
1810-HK	Xiaomi	Technology Hardware & Equipment	0.4%	2.4%	-2.0%	0.1%	0.5%	-1.9%	#N/A	0.3%	-2.1%	0.1%
291-HK	China Resources Beer (Holdings)	Food Beverage & Tobacco	0.4%	0.2%	0.2%	0.0%	0.2%	0.0%	0.0%	0.5%	0.3%	-0.1%
601600-CN	Aluminum Corp of China	Materials	0.4%	0.3%	0.1%	0.3%	0.1%	-0.2%	0.0%	0.7%	0.4%	0.7%

Source: MorningStar, FactSet, Morgan Stanley Research. Note: Data as of Jun 30, 2026, most funds have disclosed position data up to May 31. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - [Methodology of Our Fund Analysis](#). For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures.

Fund Positions Changes YTD 2026 – Top 50 Mutual Fund Holdings

Exhibit 22: Top 50 China/HK holdings among long-only EM and China active managers, YTD

Ticker	Company Name	GICS Industry Group	International & US Funds				International Funds - UCITS			US Funds		
			Portfolio Composite Weights	MSCI China Index Weights	Active Weights	Active Wgt. Changes YTD	Portfolio Composite Weights	Active Weights	Active Weights Changes YTD	Portfolio Composite Weights	Active Weights	Active Weights Changes YTD
700-HK	Tencent Holdings	Media & Entertainment	14.3%	13.4%	0.9%	1.1%	11.5%	-1.9%	3.7%	17.5%	4.1%	0.1%
9988-HK	Alibaba Group Holding	Consumer Discretionary Distribution & Retail	7.6%	10.2%	-2.6%	-2.6%	6.7%	-3.4%	-1.5%	8.5%	-1.6%	-2.6%
300750-CN	Contemporary Amperex Technology	Capital Goods	5.0%	1.3%	-3.7%	1.4%	4.8%	3.5%	0.9%	5.2%	3.9%	1.7%
939-HK	China Construction Bank	Banks	3.1%	4.1%	-1.0%	-0.2%	2.4%	-1.6%	-0.4%	3.9%	-0.2%	0.0%
2318-HK	Ping An Insurance Group	Insurance	2.8%	2.2%	0.7%	-0.5%	3.0%	0.9%	-0.4%	2.6%	0.5%	-0.7%
1299-HK	AIA Group	Insurance	2.6%	0.0%	2.6%	-0.1%	2.2%	2.2%	-0.2%	3.1%	3.1%	0.0%
9999-HK	NetEase	Media & Entertainment	2.3%	1.7%	0.6%	0.5%	2.6%	0.9%	0.5%	2.0%	0.3%	0.6%
688008-CN	Montage Technology	Semiconductors & Semiconductor Equipment	2.0%	0.1%	1.9%	1.1%	2.0%	1.9%	1.2%	1.9%	1.8%	1.0%
3968-HK	China Merchants Bank	Banks	1.7%	1.2%	0.5%	-0.1%	2.1%	0.9%	-0.1%	1.2%	0.1%	-0.2%
2899-HK	Zijin Mining Group	Materials	1.7%	1.2%	0.5%	0.1%	1.3%	0.1%	-0.4%	2.2%	1.0%	0.3%
688012-CN	Advanced Micro-Fabrication Equipment	Semiconductors & Semiconductor Equipment	1.5%	0.1%	1.4%	1.0%	1.5%	1.4%	0.9%	1.5%	1.4%	1.0%
2359-HK	WuXi AppTec	Pharmaceuticals Biotechnology & Life Sciences	1.4%	0.3%	1.1%	0.6%	0.8%	0.5%	0.3%	2.0%	1.7%	1.0%
000333-CN	Midea Group	Consumer Durables & Apparel	1.3%	0.3%	1.0%	0.1%	1.3%	1.0%	0.0%	1.3%	1.0%	0.1%
1211-HK	BYD	Automobiles & Components	1.3%	1.8%	-0.6%	0.3%	0.6%	-1.2%	0.1%	2.0%	0.1%	0.4%
HTHT-US	H World Group	Consumer Services	1.1%	0.3%	0.8%	0.0%	1.0%	-0.6%	-0.1%	1.3%	1.0%	-0.1%
PDD-US	PDD Holdings	Consumer Discretionary Distribution & Retail	1.1%	2.3%	-1.2%	-0.5%	1.3%	-1.0%	0.0%	0.9%	-1.4%	-1.1%
300308-CN	Zhongji Innolight	Technology Hardware & Equipment	1.1%	0.4%	0.7%	0.6%	1.3%	0.8%	0.8%	0.9%	0.4%	0.4%
002371-CN	NAURA Technology Group	Semiconductors & Semiconductor Equipment	1.1%	0.2%	0.9%	0.6%	1.2%	1.0%	0.6%	0.9%	0.8%	0.6%
600519-CN	Weichow Moutai	Food Beverage & Tobacco	1.0%	0.6%	0.5%	0.0%	1.2%	0.6%	0.0%	0.9%	0.3%	-0.1%
300124-CN	Shenzhen Inovance Technology	Capital Goods	1.0%	0.0%	1.0%	0.0%	0.7%	0.7%	0.0%	1.3%	1.3%	0.1%
002028-CN	Sieyuan Electric	Capital Goods	1.0%	0.0%	1.0%	-0.1%	0.9%	-0.9%	-0.1%	1.2%	1.2%	-0.2%
2628-HK	China Life Insurance	Insurance	0.9%	1.1%	-0.2%	-0.3%	0.4%	-0.7%	-0.1%	1.4%	0.3%	-0.7%
2328-HK	PICC Property & Casualty	Insurance	0.8%	0.5%	0.3%	0.1%	0.6%	0.1%	-0.1%	1.1%	0.6%	0.3%
2338-HK	Weichai Power	Capital Goods	0.7%	0.5%	0.3%	0.1%	0.6%	0.2%	0.0%	0.9%	0.4%	0.1%
992-HK	Lenovo Group	Technology Hardware & Equipment	0.7%	0.9%	-0.2%	-0.1%	0.4%	-0.6%	-0.4%	1.1%	0.2%	0.2%
1398-HK	Industrial and Commercial Bank of China	Banks	0.7%	2.3%	-1.5%	-0.1%	1.0%	-1.3%	-0.2%	0.5%	-1.8%	-0.1%
600660-CN	Fuyao Glass Industry Grp	Automobiles & Components	0.7%	0.2%	0.5%	-0.1%	0.8%	0.6%	-0.1%	0.6%	0.4%	0.1%
9888-HK	Baidu	Media & Entertainment	0.7%	1.4%	-0.7%	0.0%	0.8%	-0.6%	0.1%	0.6%	-0.8%	-0.1%
669-HK	Technic Industries	Capital Goods	0.7%	0.0%	0.7%	0.2%	0.6%	0.6%	0.0%	0.8%	0.8%	0.3%
388-HK	Hong Kong Exchanges & Clearing	Financial Services	0.6%	0.0%	0.6%	0.0%	0.7%	0.7%	0.0%	0.6%	0.6%	-0.1%
600031-CN	Sany Heavy Industry	Capital Goods	0.6%	0.1%	0.6%	0.2%	0.5%	0.4%	-0.1%	0.8%	0.7%	0.4%
9961-HK	Trip.com Group	Consumer Services	0.6%	1.1%	-0.5%	-0.1%	0.8%	-0.3%	0.0%	0.4%	-0.7%	-0.1%
857-HK	PetroChina	Energy	0.6%	1.2%	-0.6%	-0.2%	0.5%	-0.7%	-0.4%	0.7%	-0.5%	0.0%
3690-HK	Meituan	Consumer Services	0.6%	1.8%	-1.2%	-0.4%	0.6%	-1.2%	0.2%	0.5%	-1.3%	-0.7%
6160-HK	BeOne Medicines	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.7%	-0.2%	0.2%	0.5%	-0.3%	0.1%	0.7%	-0.1%	0.2%
2020-HK	ANTA Sports Products	Consumer Durables & Apparel	0.6%	0.5%	0.1%	0.1%	0.7%	0.2%	-0.2%	0.4%	-0.1%	0.2%
YMM-US	Full Truck Allin	Transportation	0.6%	0.0%	0.6%	-0.3%	0.6%	0.6%	-0.2%	0.5%	0.5%	-0.4%
3692-HK	Hansoh Pharmaceutical Group	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.2%	0.3%	-0.1%	0.3%	0.0%	-0.1%	0.9%	0.6%	0.0%
600276-CN	Jiangsu Hengrui Pharmaceuticals	Pharmaceuticals Biotechnology & Life Sciences	0.6%	0.1%	0.4%	0.1%	0.7%	0.6%	0.2%	0.4%	0.2%	-0.1%
1109-HK	China Resources Land	Real Estate Management & Development	0.5%	0.6%	0.0%	-0.2%	0.6%	0.1%	-0.1%	0.4%	-0.1%	-0.2%
002463-CN	Wus Printed Circuit	Technology Hardware & Equipment	0.5%	0.1%	0.4%	0.4%	0.7%	0.6%	0.3%	0.3%	0.3%	0.3%
600690-CN	Haier Smart Home	Consumer Durables & Apparel	0.5%	0.3%	0.2%	0.0%	0.5%	0.2%	-0.1%	0.6%	0.3%	0.1%
600176-CN	Cn Jushi	Materials	0.5%	0.1%	0.4%	0.3%	0.5%	0.5%	0.3%	0.4%	0.4%	0.3%
9618-HK	JD.com	Consumer Discretionary Distribution & Retail	0.5%	1.3%	-0.8%	0.0%	0.4%	-0.9%	-0.1%	0.6%	-0.7%	-0.1%
688019-CN	Anji Microelectronics	Semiconductors & Semiconductor Equipment	0.5%	0.0%	0.4%	0.3%	0.6%	0.6%	0.3%	0.3%	0.3%	0.2%
BZ-US	Kanzhun	Commercial & Professional Services	0.4%	0.2%	0.3%	0.0%	0.5%	0.3%	0.1%	0.4%	0.2%	0.0%
300274-CN	Sungrow Power Supply	Capital Goods	0.4%	0.1%	0.3%	0.1%	0.7%	0.6%	0.3%	0.1%	-0.1%	-0.2%
1810-HK	Xiaomi	Technology Hardware & Equipment	0.4%	2.4%	-2.0%	-0.1%	0.5%	-1.9%	0.0%	0.3%	-2.1%	0.1%
291-HK	China Resources Beer (Holdings)	Food Beverage & Tobacco	0.4%	0.2%	0.2%	-0.1%	0.2%	0.0%	-0.1%	0.5%	0.3%	0.0%
601600-CN	Aluminum Corp of China	Materials	0.4%	0.3%	0.1%	0.3%	0.1%	-0.2%	0.0%	0.7%	0.4%	0.7%

Source: MorningStar, FactSet, Morgan Stanley Research. Note: Data as of Jun 30, 2026, most funds have disclosed position data up to May 31. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - [Methodology of Our Fund Analysis](#). For important disclosures regarding companies that are the subject of this screen, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/researchdisclosures.

Funds Positions Changes vs. Last Month – By GICS Industry Group

Exhibit 23: Active fund positions in China/HK equities by GICS Industry Group vs. last month

GICS Industry Group	MSCI China Index Weights	International & US Funds			International Funds - UCITS			US Funds		
		Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month	Portfolio Composite Weights	Active Weights	Active Weights Changes vs. last month
Capital Goods	3.8%	14.1%	10.3%	0.5%	14.7%	10.9%	0.3%	13.4%	9.6%	0.9%
Semiconductors & Semiconductor Equipment	2.3%	6.5%	4.2%	2.3%	7.9%	5.5%	3.0%	5.0%	2.7%	1.6%
Insurance	4.9%	7.8%	2.9%	-0.7%	6.9%	2.0%	-0.7%	8.8%	3.9%	-0.8%
Consumer Durables & Apparel	1.7%	3.4%	1.7%	-0.2%	3.8%	2.2%	-0.2%	2.8%	1.1%	-0.2%
Food Beverage & Tobacco	2.6%	3.1%	0.5%	-0.3%	3.3%	0.7%	-0.2%	2.9%	0.3%	-0.4%
Commercial & Professional Services	0.2%	0.6%	0.4%	0.0%	0.8%	0.6%	0.0%	0.4%	0.2%	0.0%
Health Care Equipment & Services	0.4%	0.6%	0.3%	-0.1%	0.7%	0.3%	0.0%	0.6%	0.2%	-0.1%
Household & Personal Products	0.1%	0.2%	0.0%	0.0%	0.2%	0.0%	0.0%	0.2%	0.0%	0.0%
Transportation	1.4%	1.5%	0.0%	-0.2%	1.7%	0.3%	-0.1%	1.2%	-0.3%	-0.2%
Real Estate Management & Development	1.5%	1.5%	-0.1%	-0.2%	1.9%	0.3%	-0.2%	1.0%	-0.5%	-0.1%
Pharmaceuticals Biotechnology & Life Sciences	4.6%	4.5%	-0.1%	0.2%	4.2%	-0.4%	0.0%	4.9%	0.3%	0.3%
Telecommunication Services	0.3%	0.2%	-0.1%	0.0%	0.2%	0.0%	0.0%	0.1%	-0.2%	0.0%
Consumer Staples Distribution & Retail	0.4%	0.2%	-0.1%	0.0%	0.3%	0.0%	-0.1%	0.1%	-0.2%	0.0%
Materials	5.6%	5.3%	-0.3%	-0.3%	4.9%	-0.6%	-0.6%	5.8%	0.2%	0.1%
Financial Services	1.9%	1.5%	-0.4%	0.0%	1.9%	0.0%	-0.1%	1.1%	-0.8%	0.1%
Media & Entertainment	18.4%	17.9%	-0.4%	0.7%	15.3%	-3.0%	0.7%	20.9%	2.6%	0.7%
Technology Hardware & Equipment	6.2%	5.4%	-0.8%	0.9%	6.3%	0.1%	1.0%	4.5%	-1.7%	0.7%
Software & Services	1.1%	0.3%	-0.9%	0.0%	0.3%	-0.9%	-0.1%	0.3%	-0.9%	0.2%
Consumer Services	4.9%	3.6%	-1.3%	-0.3%	3.8%	-1.1%	-0.3%	3.4%	-1.5%	-0.3%
Utilities	1.9%	0.6%	-1.3%	0.0%	0.5%	-1.4%	0.0%	0.6%	-1.3%	-0.1%
Automobiles & Components	4.8%	3.3%	-1.5%	0.0%	3.1%	-1.7%	-0.2%	3.5%	-1.4%	0.2%
Energy	3.6%	1.2%	-2.3%	-0.2%	1.0%	-2.5%	-0.2%	1.5%	-2.1%	-0.2%
Consumer Discretionary Distribution & Retail	15.0%	9.7%	-5.3%	-1.8%	9.1%	-5.9%	-1.7%	10.3%	-4.7%	-1.9%
Banks	12.4%	6.8%	-5.5%	-0.2%	7.0%	-5.3%	0.1%	6.6%	-5.7%	-0.6%

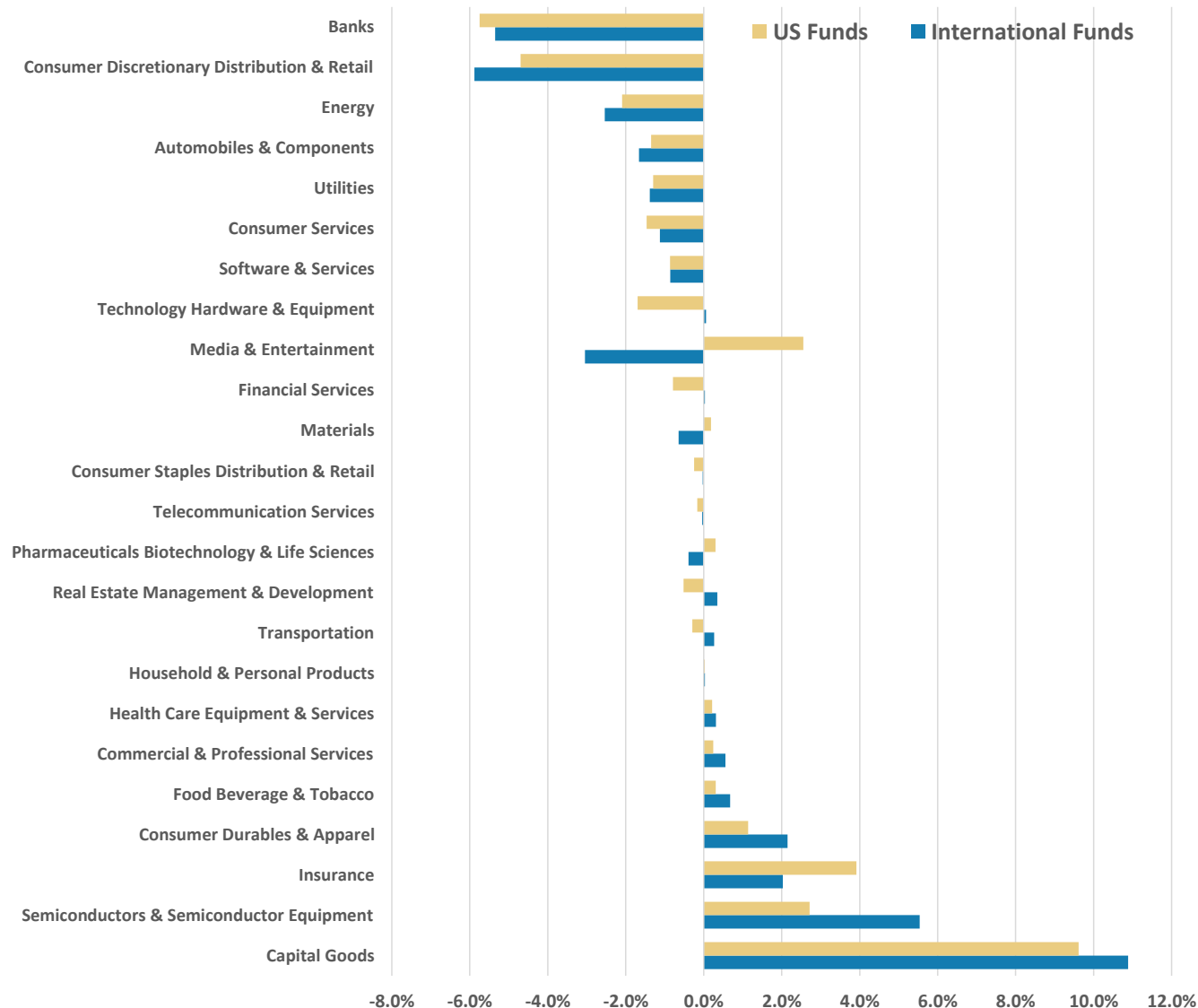
Source: MorningStar, FactSet, Morgan Stanley Research. Note: Data as of Jun 30, 2026, most funds have disclosed position data up to May 31. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - [Methodology of Our Fund Analysis](#).

Fund Positions QTD Changes – By GICS Industry Group

Exhibit 24: Active fund positions in China/HK equities by GICS Industry Group vs. last quarter

GICS Industry Group	MSCI China Index Weights	International & US Funds			International Funds - UCITS			US Funds		
		Portfolio Composite Weights	Active Weights	Active Weights Changes QTD	Portfolio Composite Weights	Active Weights	Active Weights Changes QTD	Portfolio Composite Weights	Active Weights	Active Weights Changes QTD
Capital Goods	3.8%	14.1%	10.3%	1.2%	14.7%	10.9%	0.7%	13.4%	9.6%	1.7%
Semiconductors & Semiconductor Equipment	2.3%	6.5%	4.2%	2.8%	7.9%	5.5%	3.7%	5.0%	2.7%	1.7%
Insurance	4.9%	7.8%	2.9%	-0.6%	6.9%	2.0%	-0.7%	8.8%	3.9%	-0.5%
Consumer Durables & Apparel	1.7%	3.4%	1.7%	-0.3%	3.8%	2.2%	-0.4%	2.8%	1.1%	-0.2%
Food Beverage & Tobacco	2.6%	3.1%	0.5%	-0.4%	3.3%	0.7%	-0.3%	2.9%	0.3%	-0.5%
Commercial & Professional Services	0.2%	0.6%	0.4%	0.0%	0.8%	0.6%	0.0%	0.4%	0.2%	0.0%
Health Care Equipment & Services	0.4%	0.6%	0.3%	-0.1%	0.7%	0.3%	0.0%	0.6%	0.2%	-0.1%
Household & Personal Products	0.1%	0.2%	0.0%	0.0%	0.2%	0.0%	-0.1%	0.2%	0.0%	0.0%
Transportation	1.4%	1.5%	0.0%	-0.2%	1.7%	0.3%	-0.1%	1.2%	-0.3%	-0.3%
Real Estate Management & Development	1.5%	1.5%	-0.1%	-0.2%	1.9%	0.3%	-0.2%	1.0%	-0.5%	-0.1%
Pharmaceuticals Biotechnology & Life Sciences	4.6%	4.5%	-0.1%	-0.1%	4.2%	-0.4%	-0.4%	4.9%	0.3%	0.1%
Telecommunication Services	0.3%	0.2%	-0.1%	-0.1%	0.2%	0.0%	-0.2%	0.1%	-0.2%	0.0%
Consumer Staples Distribution & Retail	0.4%	0.2%	-0.1%	-0.1%	0.3%	0.0%	-0.1%	0.1%	-0.2%	0.0%
Materials	5.6%	5.3%	-0.3%	-0.4%	4.9%	-0.6%	-0.9%	5.8%	0.2%	0.2%
Financial Services	1.9%	1.5%	-0.4%	-0.3%	1.9%	0.0%	-0.3%	1.1%	-0.8%	-0.2%
Media & Entertainment	18.4%	17.9%	-0.4%	0.8%	15.3%	-3.0%	1.1%	20.9%	2.6%	0.6%
Technology Hardware & Equipment	6.2%	5.4%	-0.8%	1.5%	6.3%	0.1%	1.8%	4.5%	-1.7%	1.2%
Software & Services	1.1%	0.3%	-0.9%	0.0%	0.3%	-0.9%	-0.1%	0.3%	-0.9%	0.1%
Consumer Services	4.9%	3.6%	-1.3%	-0.8%	3.8%	-1.1%	-0.4%	3.4%	-1.5%	-1.2%
Utilities	1.9%	0.6%	-1.3%	0.0%	0.5%	-1.4%	0.1%	0.6%	-1.3%	0.0%
Automobiles & Components	4.8%	3.3%	-1.5%	0.1%	3.1%	-1.7%	-0.2%	3.5%	-1.4%	0.3%
Energy	3.6%	1.2%	-2.3%	-0.4%	1.0%	-2.5%	-0.5%	1.5%	-2.1%	-0.4%
Consumer Discretionary Distribution & Retail	15.0%	9.7%	-5.3%	-2.4%	9.1%	-5.9%	-2.3%	10.3%	-4.7%	-2.5%
Banks	12.4%	6.8%	-5.5%	-0.1%	7.0%	-5.3%	-0.2%	6.6%	-5.7%	0.0%

Source: MorningStar, FactSet, Morgan Stanley Research. Note: Data as of Jun 30, 2026, most funds have disclosed position data up to May 31. Please contact us if you would like to receive the full table. Our fund positioning database methodology is described in section - [Methodology of Our Fund Analysis](#).

Exhibit 25: Latest active weights vs. MSCI China by GICS industry group

Source: MorningStar, FactSet, Morgan Stanley Research. Note: Data as of Jun 30, 2026, most funds have disclosed position data up to May 31. Our fund positioning database methodology is described in section - [Methodology of Our Fund Analysis](#) .

Fund Positions Changes YTD 2026 – By GICS Industry Group

Exhibit 26: Active fund positions in China/HK equities by GICS Industry Group, YTD

GICS Industry Group	MSCI China Index Weights	US & SICAV Funds			International Funds - UCITS			US Funds		
		Portfolio Composite Weights	Active Weights	Active Weights Changes YTD	Portfolio Composite Weights	Active Weights	Active Weights Changes YTD	Portfolio Composite Weights	Active Weights	Active Weights Changes YTD
Capital Goods	3.8%	14.1%	10.3%	3.6%	14.7%	10.9%	1.6%	13.4%	9.6%	3.7%
Semiconductors & Semiconductor Equipment	2.3%	6.5%	4.2%	3.3%	7.9%	5.5%	4.0%	5.0%	2.7%	2.3%
Insurance	4.9%	7.8%	2.9%	-0.9%	6.9%	2.0%	-0.8%	8.8%	3.9%	-1.1%
Consumer Durables & Apparel	1.7%	3.4%	1.7%	-0.3%	3.8%	2.2%	-0.9%	2.8%	1.1%	0.0%
Food Beverage & Tobacco	2.6%	3.1%	0.5%	-0.3%	3.3%	0.7%	-0.3%	2.9%	0.3%	-0.3%
Commercial & Professional Services	0.2%	0.6%	0.4%	0.1%	0.8%	0.6%	0.1%	0.4%	0.2%	0.0%
Health Care Equipment & Services	0.4%	0.6%	0.3%	-0.1%	0.7%	0.3%	-0.1%	0.6%	0.2%	0.0%
Household & Personal Products	0.1%	0.2%	0.0%	0.0%	0.2%	0.0%	0.0%	0.2%	0.0%	0.0%
Transportation	1.4%	1.5%	0.0%	-0.4%	1.7%	0.3%	-0.4%	1.2%	-0.3%	-0.6%
Real Estate Management & Development	1.5%	1.5%	-0.1%	-0.3%	1.9%	0.3%	-0.3%	1.0%	-0.5%	-0.3%
Pharmaceuticals Biotechnology & Life Sciences	4.6%	4.5%	-0.1%	0.3%	4.2%	-0.4%	-0.2%	4.9%	0.3%	0.8%
Telecommunication Services	0.3%	0.2%	-0.1%	-0.1%	0.2%	0.0%	-0.1%	0.1%	-0.2%	0.0%
Consumer Staples Distribution & Retail	0.4%	0.2%	-0.1%	0.0%	0.3%	0.0%	0.0%	0.1%	-0.2%	0.0%
Materials	5.6%	5.3%	-0.3%	-0.4%	4.9%	-0.6%	-2.1%	5.8%	0.2%	0.7%
Financial Services	1.9%	1.5%	-0.4%	0.0%	1.9%	0.0%	0.0%	1.1%	-0.8%	-0.1%
Media & Entertainment	18.4%	17.9%	-0.4%	0.4%	15.3%	-3.0%	3.4%	20.9%	2.6%	-0.4%
Technology Hardware & Equipment	6.2%	5.4%	-0.8%	1.8%	6.3%	0.1%	2.1%	4.5%	-1.7%	1.7%
Software & Services	1.1%	0.3%	-0.9%	-0.4%	0.3%	-0.9%	-0.6%	0.3%	-0.9%	-0.2%
Consumer Services	4.9%	3.6%	-1.3%	-1.1%	3.8%	-1.1%	-0.3%	3.4%	-1.5%	-1.6%
Utilities	1.9%	0.6%	-1.3%	-0.1%	0.5%	-1.4%	-0.1%	0.6%	-1.3%	-0.1%
Automobiles & Components	4.8%	3.3%	-1.5%	0.0%	3.1%	-1.7%	-0.5%	3.5%	-1.4%	0.3%
Energy	3.6%	1.2%	-2.3%	-0.6%	1.0%	-2.5%	-1.0%	1.5%	-2.1%	-0.4%
Consumer Discretionary Distribution & Retail	15.0%	9.7%	-5.3%	-3.8%	9.1%	-5.9%	-2.3%	10.3%	-4.7%	-4.2%
Banks	12.4%	6.8%	-5.5%	-0.6%	7.0%	-5.3%	-1.0%	6.6%	-5.7%	-0.3%

Source: MorningStar, FactSet, Morgan Stanley Research. Note: Data as of May 31, 2026, most funds have disclosed position data up to April 30. Our fund positioning database methodology is described in section - [Methodology of Our Fund Analysis](#).

Methodology of Our Fund Analysis

Coverage: Our SICAV fund universe in this analysis is formed by taking the 40 largest active funds in "International Funds: MorningStar China Equity" and the 40 largest active funds in "International Funds: MorningStar Emerging Markets Equity", covering total AUM of US\$167bn.

Our US fund universe in this analysis is formed by taking the 20 largest active funds in "US Funds: MorningStar China Equity" and the 40 largest active funds in "US Funds: MorningStar Emerging Markets Equity", covering total AUM of US\$309bn.

Rationale: We track only the funds with the largest AUM because of their better data quality. Changes in individual securities positions across different funds are aggregated based on market value. Please note that not every individual fund discloses month-end positions, so our estimations are for best-effort market indication purposes rather than factual reported data.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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